



Enterprise architecture (EA) success kit

Everything you need to
drive impact with EA



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Chapter 1

Why you need enterprise architecture management



Describing the business value of enterprise architecture management (EAM) is easy. An effective EAM program helps you address, and even prevent, the following:

- Security breaches and service breakdowns due to outdated systems and applications you may not have been aware of
- Falling afoul of regulators because you can't map data flows, track data lineage, or report accurately on who has access to data
- Countless delays when you try to modernize a highly integrated system, such as an ERP, because you don't understand how it interacts with the rest of your IT landscape
- Overspending on IT through the management and maintenance of multiple redundant systems

You can avoid these outcomes by building a centralized repository of application information that's accessible to everyone across your organization. When housed in a single,





dedicated tool, such a repository can provide visibility into your systems and their interdependencies. What's more, it can support cross-functional collaboration while serving as an engine for ongoing technology transformation.

If it's so easy to explain the business value of EA, then why do some companies still not have an EA function?

The fact of the matter is, when you're just starting out as a business, you really don't have to. You are focused on meeting a common customer need or delivering a certain product. You may need some specialized technology to do what you intend to, but the technology you use to run your business is essentially a commodity. You focus on price and functionality, and that's good enough.

Eventually, you have systems for finance, HR, marketing communications, and so on. Data flows between these systems. Some of your technology lives in a data center and some runs in the cloud. You have an enterprise architecture, in fact, but it's one you have grown organically. As the need arose, you bought new tools and connected them to everything else as quickly as possible.

Soon, though, you run into the problems outlined above. You can't keep track of everything. You can't account for everything. Mergers and acquisitions only make things worse, because now you have to integrate two different enterprise architectures, both of which have not been thoughtfully managed.

The organic approach to EA eventually becomes unsustainable. In fact, it can become a real liability, making innovation impossible and disrupting business as usual. What you need is an intentional approach. What you need is enterprise architecture management.

An effective EAM program can help you address:



Security risks



Regulatory compliance



Modernization delays



IT overspending



Chapter 2

Starting off on the right foot



Before walking through the basics of setting up a successful EA practice, there are a few best practices to keep in mind. As you read through them, you may realize why you have encountered some of the most common challenges we see.

Step out of the ivory tower

Traditionally, enterprise architecture management has felt like an academic exercise. The focus fell on diagramming and modeling IT systems. What's worse, many viewed the discipline as a “technology cop,” controlling what people could and couldn't do. Enterprise architecture management can and should be an enabling function, one centered entirely around collaboration aimed at ensuring the business has the tools it needs to accomplish its goals.





Use a best-practice data model

A data model defines how your data is organized, documented, and defined. It allows you to both name and categorize the entities and relationships that make up your enterprise architecture.

The [SAP LeanIX meta model](#) offers an example of how a data model is structured. This model uses entities such as Data Object, Application, and Interface to capture information about your application and data architecture. It uses entities like Provider, IT Component, and Tech Category to describe your technical architecture, and so on.

Trying to create a model closely replicating all the particularities of your business is time consuming and ultimately not worth the effort. Enterprise architecture management as a discipline has been around long enough to have created best-practice models. Take advantage of these to get started as quickly as possible.

SAP LeanIX meta model





Set clear goals for your program

Clarify what you want your EAM program to achieve right out of the gate (for example, enable innovation, promote organizational agility, or control IT costs). This will help you convince internal stakeholders to support the project. More practically, your goals will serve as a guide when it comes to deciding exactly what type of application and IT data you need to collect.

Be here now

Enterprise architects want to design things. And they should! But any path to the future starts right here in the present.

Everything begins with your current, "as-is" architecture. Getting a comprehensive handle on that alone will deliver measurable results.

To be clear, envisioning and designing your target architecture is incredibly valuable. At the same time, mapping your as-is state allows your EA practice to have immediate impact by enabling application rationalization and cost optimization efforts. It will also provide a reliable starting point as you design the roadmap to your architecture's future state.



Choose the right tool

One reason that EAM efforts often fail to gain traction is that [EAs and their partners try to build their own tools](#). Cobbled together from Excel, PowerPoint, and any other solutions at hand, these tools inevitably fall short. The need to manually update spreadsheets means that data quickly becomes unreliable. And using that data to diagram your estate is either out of the question or exceedingly tedious.

Other organizations choose a traditional EA tool, of which there are many. While this is marginally better than the DIY approach, traditional tools often require expensive customization and take months to stand up. Customization, however, prolongs your time to value and makes it difficult to change when the business demands it.

Choosing the right tool will enable you to show results as quickly as possible. A ready-made data model, allowing, but not requiring, customization is a good start. It allows you to get to work creating your application inventory, for example, instead of figuring out how you want to structure it.

The right tool will also feature plenty of out-of-the-box integrations you can use to import critical data from other enterprise tools (CMDB, BPM, etc.)

Finally, remember your enterprise architecture impacts everybody and the work they do. For this reason, the tool you choose should support easy collaboration across the enterprise.

Tool checklist:

- ✓ Best-practice data model
- ✓ Fast time to value
- ✓ Out-of-the-box integrations
- ✓ Highly collaborative



Chapter 3

Building the foundation for successful enterprise architecture management



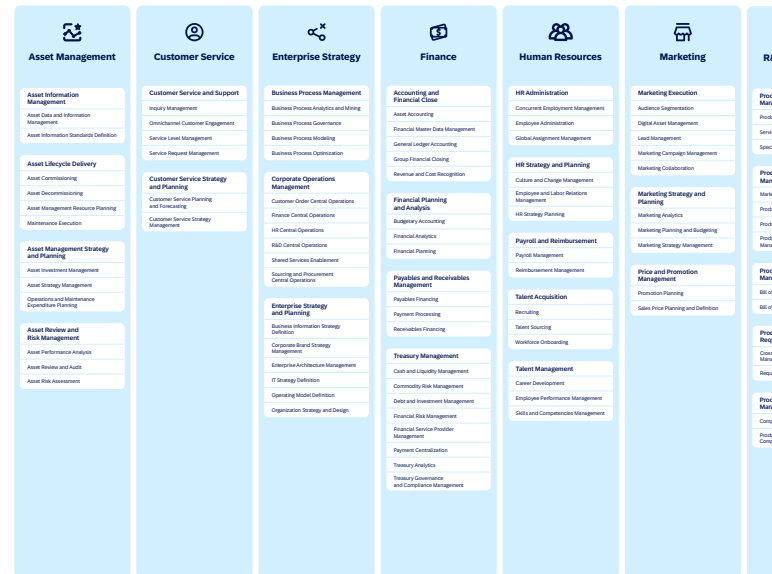
A strong EA practice requires a solid foundation so you can more quickly tackle the challenges facing your organization. Let's explore the three steps to building a successful EA practice.

Step 1: Map your business capabilities

While EA is most often associated with technology, managing your enterprise architecture starts with a focus on your business strategy.

The average company uses 976 different applications, according to a report issued by [Mulesoft and Deloitte](#). For larger companies, the number can run into the thousands. Is that too many? Not enough? Are they the right ones? The only way to judge is to look at the business capabilities these applications need to support.

Business capability maps show the capabilities that are essential for your business to operate. Having this information at hand in an intuitive visual format gives you a starting point for mapping your applications to business capabilities. It's the fastest way to identify gaps, inefficiencies, and redundancies in your application portfolio.



An example of a best-practice [business capability map](#)



There are a number of resources that can help you quickly create your own business capability map. Here is the [definitive guide](#) from SAP LeanIX.



[Click to download](#)

Business capabilities vs. business processes

"Business capabilities and business processes offer different perspectives on the same reality: the 'what' and the 'how'. Take "available-to-promise" as an example. This capability describes the capacity or ability to realize an outcome: responding to a customer inquiry with a confirmed quantity of product that can be delivered at a certain place and time.

The process describes which individual tasks need to be completed, by whom, and in which sequence, to generate this response: The order manager receives a request from a customer, checks the stock, then the local production forecast, then checks other orders with higher priority, then the requested delivery location and calculates the days forward, etc. There might be even more steps to take.

The capability is rather abstract and conceptual. For a given business model, it is also a concept that does not change over time. The business process, on the other hand, can change even within the same business model as the business evolves."

Read more [here](#).



Step 2: Build your application inventory

Your business capability map provides one essential cornerstone of your EA practice. Your inventory of architectural data provides the other. As mentioned above, your data model should guide the creation of this inventory by defining your “architectural objects” (applications, interfaces, business capabilities, etc.).

Creating an inventory of your applications is the most common starting point here. As it turns out, you probably already have some inventory of your applications. It may be a list maintained in Excel or in a CMDB, or in some other tool focused on IT management. What matters is getting this data out of its various silos and into your EA tool. SAP LeanIX, for example, allows you to import data using Excel spreadsheets built on a standardized template or using the REST API. You can also input data manually.

SaaS applications pose a special challenge when building your inventory for the simple reason that SaaS can often be purchased without involving IT. While decentralized purchasing may increase agility and reflect a “business-led IT” approach, it also means that there is no easy way to know exactly what SaaS applications you have.

While you might be tempted to use surveys to identify SaaS in your organization, this won’t give you the whole picture. The better way is to rely on an EA tool capable of automatically discovering SaaS applications, through integration with enterprise systems like SSO, for example.

Step 3: Ensure the completeness and quality of your data

Every application record in your inventory should include relevant, useful data about that application. This data can include the business capability it supports, the business processes it is part of, the application’s user group, and the business owner of the application, among other things.

The precise data you need will be determined by the data model you use. Some of this information may be in your existing records, but you will most likely need to augment it with insights from your users. This is where surveys can help. With SAP LeanIX, you can routinely send comprehensive surveys to team leaders and application owners. You can also enlist users to review and validate the data in your application records.



Application records in your inventory should include relevant, useful data.

The screenshot displays the SAP LeanIX interface for the component 'Microsoft / Azure API Management'. The top navigation bar includes 'Dashboards', 'Inventory', 'Reports', 'Diagrams', and 'Collaboration'. A search bar on the right contains the text 'Search for Fact Sheet'. The component name is followed by a checkmark icon and '16%'. Below the name, there are buttons for 'PaaS', 'Demo', 'Extend to Catalogue', 'ServiceNow Sourced', and 'Edit tags'. A description states: 'API Management helps organizations publish APIs to external, partner, and internal developers to uni... Show more'. The 'Fact Sheet' tab is selected, showing a sub-tab 'Information 42%'. The 'Name, Type & Description' section lists: Name: API Management, Subtype: PaaS, and Description: API Management helps organizations publish APIs to external, partner, and internal develop... Show more. The 'Lifecycle' section shows a timeline from 2014 to 2027, with 'Phase In' starting on 2014-05-12 and 'Active' starting on 2014-09-10. The 'Provider (1)' section lists 'Microsoft / Azure'. The 'Relations Explorer' shows a relationship between 'Microsoft / Azure API Management' and 'Azure' with '1 Endpoints' and '1 Tech Categories'. The 'Successors' and 'Predecessors' sections are currently empty.



Chapter 4

Driving impact with common EA use cases



By this stage, you have mapped your business capabilities, built your inventory, and ensured the completeness and accuracy of your data. Now, with a solid foundation of information and visibility, you can start driving impact. In the following section, we'll delve into the EA use cases that deliver the most value and fastest ROI.

Application rationalization

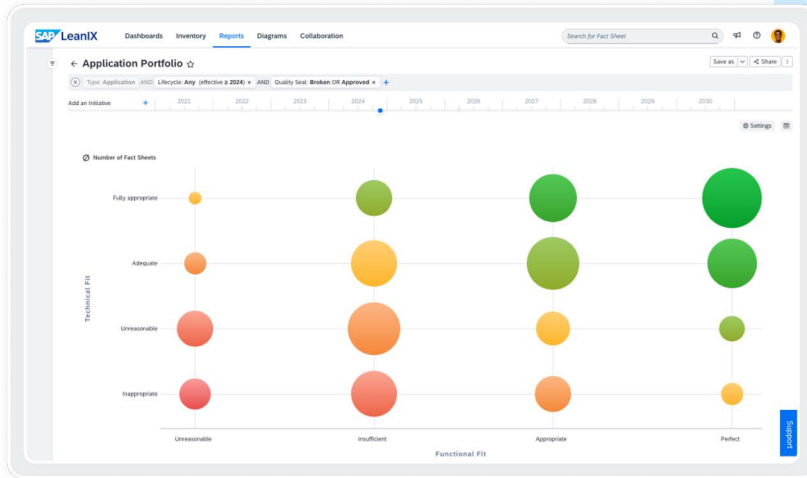
The process of application rationalization boils down to one basic question: Does it make sense that we have the specific applications we have?

The reason this question is important goes back to what we said above. Generally, companies grow their enterprise architecture and application portfolios organically. There comes a time, however, when you realize that you are maintaining and managing applications you no longer need or that no longer fit your business needs. That's when it's time to rationalize.





Our research has shown that only 15% of organizations regularly rationalize their application portfolios. That's unfortunate because application rationalization delivers a business value in the form of cost savings, efficiency gains, increased productivity, and improved security.



How SAP LeanIX helps

With an inventory of applications that have been mapped to business capabilities in SAP LeanIX, you are already on your way.

From there, you can use the SAP LeanIX application portfolio report to quickly scope applications required for assessment. What SAP LeanIX specifically enables you to do is rank applications based on their functional fit (*do they do what the business needs?*) and technical fit (*are they the best tools for your specific IT environment?*).

You can use this information to make data-driven decisions about next steps using the Gartner TIME (tolerate, invest, migrate, eliminate) framework.

By providing a way to think through next steps – Do we live with this application? Replace it? Move it to the cloud? Retire it? – this framework has become the industry standard for planning and executing an application rationalization process.



Our expert guide explains how you can use SAP LeanIX to apply the TIME framework for application rationalization.



[Click to download](#)



Industry: Manufacturing and retail / Headquarters: New York, U.S. / Employees: 62,000

Estée Lauder

Estée Lauder is one of the world's leading cosmetics companies. It has over 60,000 employees across the world, several different brands, and a sprawling portfolio of over 200 applications.

Rationalizing such a portfolio across so many brands, regions and teams is a monumental endeavor. That's why Estee Lauder uses SAP LeanIX to support regular application rationalization initiatives.

This [in-depth success story](#) reveals how the company leveraged SAP LeanIX to develop an eight-step methodology for application portfolio optimization, a process which includes optimizing costs, driving global standards for mission-critical apps, and securing stakeholder buy-in.

"SAP LeanIX has been instrumental in helping us organize all of the information we need for continuous application portfolio optimization. All of our strategic goals from the board on down are put into SAP LeanIX and mapped to specific projects."

Dawit Lessanu, *Executive Director of Enterprise Architecture,*
Estée Lauder



Technology obsolescence risk management

According to the [Cybersecurity and Infrastructure Security Agency \(CISA\)](#), the number-one risk to critical infrastructure is the use of unsupported or end-of-life software.

And dealing with the fallout from a security breach can be extremely difficult. In addition to bad publicity and reputational damage, the average cost of security incident mitigation has reached an all-time high of [US\\$4.35 million](#).

Despite these facts, many organizations still run mission-critical business processes on legacy systems.

[A 2021 survey](#) of 211 C-level decision makers, conducted by Tata Consultancy and AWS, revealed that over 66% of organizations used legacy applications for core operations, and over 60% used them for customer-facing functions. This is disconcerting, as there are a number of drawbacks and risks to using outdated technology.

Legacy systems run slower and need more attention from administrators. Time and resources are spent simply trying to get them to operate properly, which ultimately impacts the bottom line. Also, these systems are often not regularly

updated or, in some cases, even supported by the vendor. Without regular updates or support, legacy technology can experience failures and outages that halt business operations. This can be very expensive and, what's worse, degrade the customer experience.

Most importantly, you often can't apply modern security best practices – multi-factor authentication, singlesign on, role-based access, etc. – to outdated solutions. These solutions also frequently lack sufficient audit trails or encryption methods. They also often don't offer the kind of real-time security monitoring needed to detect and resolve security breaches.



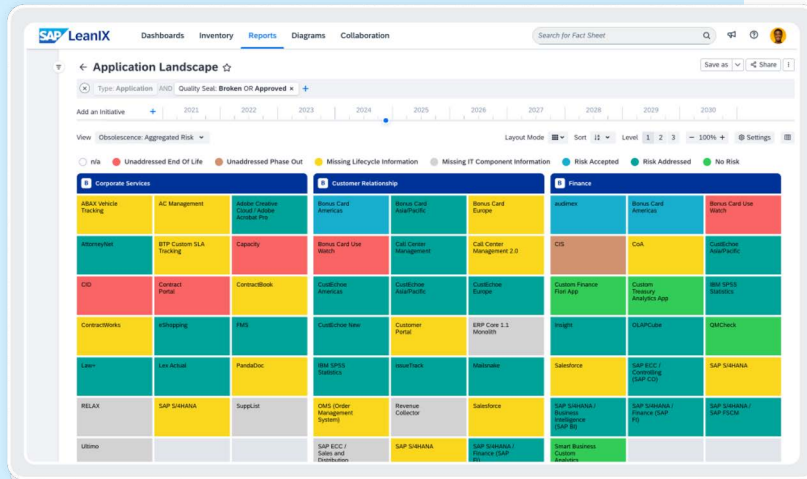


How SAP LeanIX helps

Technology risk management is a broad, complex topic that cannot be solved by manual data maintenance — no matter how skilled your team is. With the help of SAP LeanIX, EAs can quickly source current product information across the organization's entire IT architecture. This information is essential for assessing application portfolio risk, as well as for planning, managing, and retiring technology components in a strategic way.

SAP LeanIX created a Lifecycle Catalog within the product to serve as a reliable source of lifecycle data on a broad range of technologies. As a continuously updated repository of IT component lifecycle information lifecycle catalog enables users to identify technology obsolescence risks for their hardware and software and to make better upgrade decisions.

SAP LeanIX combines all critical information about every technology object in a single source of truth. SAP LeanIX also provides smart matching algorithms to cleanse existing data sets, enabling you to jumpstart the process of identifying obsolete technology. Custom reports help you highlight applications that are outdated or risky and visualize affected dataflows.





10 key obsolescence risk management questions

SAP LeanIX answers

1. Does the app need tech upgrades to ensure ongoing support for business operations?
2. What is the lifecycle of this application?
3. What are the applications' response times?
4. Are response times good or bad compared to other applications?
5. Did the application have more or fewer outages year-over-year?
6. Is the system prone to incidents?
7. How many users would be affected by a potential outage?
8. What impact would an application outage have on revenues?
9. Are we meeting regulatory or compliance requirements?
10. Is the technology risk stagnating business growth?



Application modernization and ERP transformation

Application modernization can take many forms, from replacing applications with more modern solutions to adopting more flexible deployment models like the cloud. As you may have guessed, the applications you put in the “invest” and “migrate” categories of the TIME framework are the top candidates for modernization.

Modernizing your applications is usually more complex than simply swapping out one application for another. Frankly, the process of modernizing a critical business system, such as an ERP, involves so many stakeholders and related systems that it can accurately be called a business transformation.



Getting an ERP transformation right calls for:



Aligning IT, business, and project teams and maintaining that alignment throughout the duration of the project



Getting the buy-in you need for important decisions from company leadership



Understanding and mapping all interconnections and dependencies between IT components



Designing your target architecture



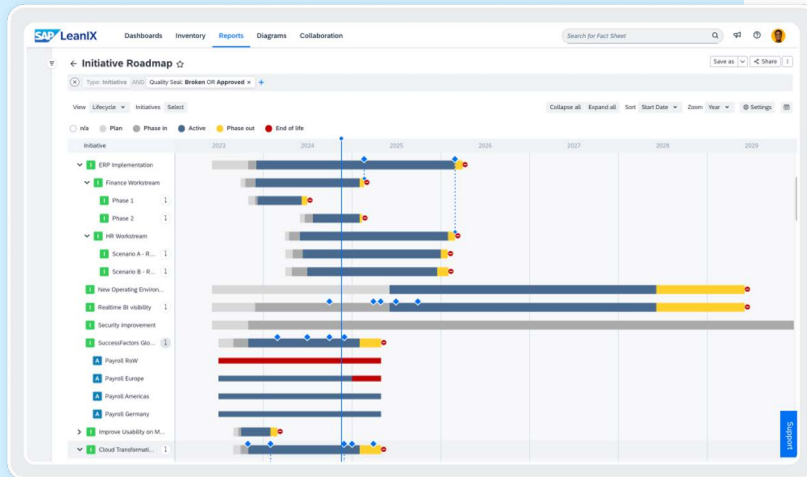
Creating an actionable road map to your future state

Comprehensive visibility into your IT landscape is the prerequisite for all this, and exactly what an effective EA practice gives you.



How SAP LeanIX helps

SAP LeanIX can serve as your single source of truth for application modernization projects, including ERP transformations. With intuitive visualizations and reports, SAP LeanIX enables near-seamless communication and collaboration in a holistic way. It gives you the data, tools, and collaboration capabilities you need to align IT, business, and project teams and make fast, data-driven decisions to keep your transformation on track.



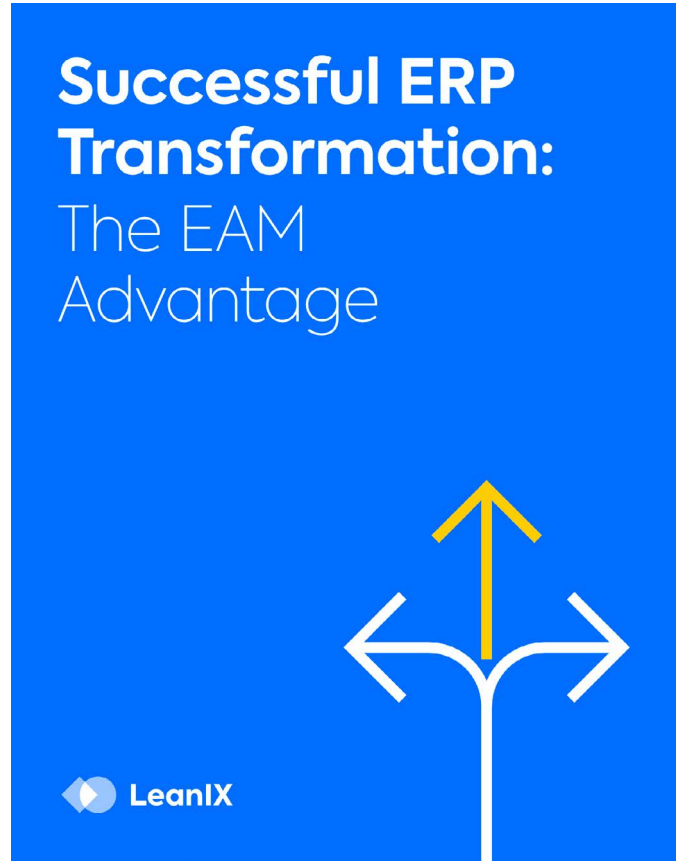
SAP LeanIX provides predefined transformation templates to simplify and streamline the planning of your transformation. With all your EA data aggregated in one system, you can use SAP LeanIX to map your current state, envision and design your target state, and create an actionable transformation roadmap to get you there. Throughout the transformation, SAP LeanIX enables you to track progress and dynamically adapt your roadmap to keep up with your evolving, “as-is” architecture. This allows you to maintain organizational focus while staying on schedule and on budget.

Even after your modernization project is complete, you will still need to track its impact on your enterprise and identify ongoing optimization opportunities. As your technology transformation platform, SAP LeanIX facilitates the process from start to finish, and into the future.



To explore how EAM can overcome the biggest hurdles of ERP transformation, read this in-depth [white paper](#).

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Industry: Retail / Headquarters: UK / Employees: 25,000+

Travis Perkins

British home improvement retailer Travis Perkins chose SAP LeanIX to guide their ambitious IT modernization project, which included an ERP transformation. The close integration of SAP LeanIX and SAP Signavio solutions gave Travis Perkins a unified view of their IT and process landscapes and allowed them to easily supplement process data with enterprise architecture data. As a result, everyone could quickly understand not only which applications were used in which process, but also who owned and used these applications.

Learn how [SAP LeanIX played a key role](#) in Travis Perkins' ERP transformation, and why the company can now execute future transformations in a consistent, standardized way.

“We had used diagramming tools for process modeling in the past, which creates a nice picture, but it’s just a picture. We wanted a model with the data underpinning it – telling us, for example, who owned what applications – so we could do some proper analysis... It’s hard to move to a better operating model if you don’t know what you’re actually doing or how things work today.”

Matt Webb, *Head of Business Process Improvement, Travis Perkins*



Start driving impact with SAP LeanIX

Business transformation today requires technology transformation. Unfortunately, too many companies lack basic insight into their technology landscape. This means, first, that they can't fully account for the technology they own. Second, it means that they don't understand how that technology supports the business capabilities they need today or emerging capabilities they will need tomorrow.

What's more, they struggle to plan and execute on practical road maps that will get them to their target landscape without breaking anything.

A robust enterprise architecture practice solves these problems. By creating a data-rich IT repository and mapping that repository to business capabilities, your EA practice can assess the alignment between your technology investment

and your business goals.

Mapping dependencies and data flows between applications allows you to ensure security and regulatory compliance. It also allows you to plan and prioritize any changes you want to make to your IT landscape.

Finally, with a single source of truth covering your entire IT landscape, you can inform a wide range of decisions, from the optimization of customer journeys to the allocation of resources for strategic innovation initiatives.

Because we believe in the power of EA to drive transformation and deliver measurable business impact, we designed an EA tool that is easy to implement, easy to use, and easy to scale.

**See for yourself what SAP LeanIX
can do for your organization!**
[Schedule a personalized demo](#)
with our expert team today



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SAP LeanIX is a market leader for enterprise architecture management (EAM), driving the modernization of IT landscapes and continuous business transformation. Its software-as-a-service solutions empower organizations to create transparency, enabling them to visualize, assess and manage the transition towards their target IT architecture. By offering a data-driven and automated approach enhanced with AI, SAP LeanIX helps organizations make sound decisions and collaborate more effectively. SAP LeanIX serves over 1,000 companies globally across various industries, including more than 10% of the Fortune 500 and half of the German DAX 40. Headquartered in Bonn, Germany, SAP LeanIX has a strong international presence with offices in Boston (USA), London (UK), Paris (France), Amsterdam (Netherlands), and Ljubljana (Slovenia). Founded in 2012, the company was acquired by SAP in November 2023. For more information, visit www.leanix.net.

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